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Customer Switching Behavior in Service Industries: An Exploratory Study

Customer switching behavior damages market share and profitability of service firms yet has remained virtually unexplored in the marketing literature. The author reports results of a critical incident study conducted among more than 500 service customers. The research identifies more than 800 critical behaviors of service firms that caused customers to switch services. Customers' reasons for switching services were classified into eight general categories. The author then discusses implications for further model development and offers recommendations for managers of service firms.

Services marketers know that "*having customers*, not merely *acquiring customers* [sic], is crucial for service firms" (Berry 1980, p. 25). In terms of having customers, research shows that service quality (Bitner 1990; Boulding et al. 1993), relationship quality (Crosby, Evans, and Cowles 1990; Crosby and Stephens 1987), and overall service satisfaction (Cronin and Taylor 1992) can improve customers' intentions to stay with a firm. But what of *losing* customers? What actions of service firms, or their employees, cause customers to switch from one service provider to another?

The answers to these questions are important to both executives of service firms and service marketing scholars. Service firm executives are concerned about the negative effects of customer switching on market share and profitability (Rust and Zahorik 1993). In the simplest sense, switching costs a service firm the customer's future revenue stream. But the loss is even more damaging when other effects are considered: First, because continuing customers increase their spending at an increasing rate, purchase at full-margin rather than discount prices, and create operating efficiencies for service firms (Reichheld and Sasser 1990), the loss of a continuing service customer is a loss from the high-margin sector of the firm's customer base. Second, costs associated with acquiring new customers are incurred: New account setup, credit searches, and advertising and promotional expenses can add up to five times the cost of efforts that might have enabled the firm to retain a customer (Peters 1988). Operating costs rise as the service firm learns the needs of its new customer and the customer learns the procedures of the firm. Executives need research-based knowledge if they are to avoid the revenue-reducing and cost-incurring impacts of customer switching.

The goal of this research is to help managers and researchers understand service switching from the customer's perspective. Because the topic has not been examined in prior research, exploratory research was conducted among service customers to investigate the following questions: What are the determinants of customers' decisions to switch service providers? What critical events, combinations of events, or series of events cause customers to leave familiar service providers and seek new ones? What roles do service encounters and technical service quality play relative to other functions of the service firm?

Conceptual Background

Review of the services and product literatures reveals a variety of potential, and sometimes conflicting, reasons that customers might switch services. For example, customer switching has been related to perceptions of quality in the banking industry (Rust and Zahorik 1993), overall dissatisfaction in the insurance industry (Crosby and Stephens 1987), and service encounter failures in retail stores (Kelley, Hoffman, and Davis 1993). However, the industry-specific nature of these studies necessarily limits the generalizability of these findings and leads us to adopt the broader, cross-industry perspective endorsed by many services researchers (cf. Berry and Parasuraman 1993; Lovelock 1983; Zeithaml, Berry, and Parasuraman 1993).

The services literature also examines behavioral intentions variables, such as "intentions to switch" or "intentions to repatronize a service," in tests of the nomological, measurement, or predictive validity of service quality-satisfaction models (cf. Bitner 1990; Boulding et al. 1993; Cronin and Taylor 1992). Those results suggest that satisfaction and service quality are related to service switching. However, direct application of the results is limited by several factors:

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1. Behavioral intentions are an imperfect proxy for behavior.
2. In some studies, "intentions to switch" is one item in a composite "behavioral intentions" variable, thereby confounding the contribution of quality or satisfaction uniquely to service switching (cf. Bitner 1990; Boulding et al. 1993).
3. Most studies emphasize intentions to engage in behaviors *beneficial* to an organization rather than intentions to engage in behaviors *harmful* to an organization. Variables and relationships that predict positive outcomes may be asymmetrical with those that predict negative outcomes (LaBarbera and Mazursky 1983).

Perhaps the most limiting factor is that prior work was designed to focus on quality, satisfaction, or service encounters—not on service switching. Although service quality failures and dissatisfaction represent some of the reasons that customers switch services, they do not account for all of them. Bitner (1990) speculates that time or money constraints, lack of alternatives, switching costs, and habit might also affect service loyalty; Cronin and Taylor (1992) suggest that convenience, price, and availability might enhance customer satisfaction and ultimately affect behavioral intentions.

Finally, well-established differences between goods and services lead to a generalized expectation that reasons for switching services would differ from reasons for switching goods. Thus, the degree to which service switching might be caused by price deals (Guadagni and Little 1983; Gupta 1988; Mazursky, LaBarbera, and Aiello 1987) or variety seeking (Kahn, Kalwani, and Morrison 1986), two major causes of brand switching, is unknown.

Method and Procedure

A major goal of this research is to introduce a grounded model of customer switching in service industries that would help managers to understand customer defections and provide researchers with a foundation for future systematic investigation. Research methods and procedures followed recommended guidelines for theory development in marketing (cf. Deshpande 1983; Zaltman, LeMasters, and Heffring 1982). We began by collecting "grounded events," or actual incidents that caused customers to switch services (Glaser and Strauss 1967). The incidents were then analyzed to reveal broader patterns. With grounded theory development, patterns must be allowed to emerge from the data (in contrast to the hypothetico-deductive approach, in which *a priori* theory is superimposed on the data).

Data Collection

Critical incident technique. The critical incident technique (CIT) has been applied successfully to the study of customer (Bitner, Booms, and Tetreault 1990; Kelley, Hoffman, and Davis 1993) and employee perceptions of service encounters (Bitner, Booms, and Mohr 1994). Reliability and validity of the technique have been demonstrated (Ronan and Latham 1974; White and Locke 1981). The CIT is particularly appropriate when the goals of the research include both managerial usefulness and theory development.

Critical incidents were defined as any event, combination of events, or series of events between the customer and one or more service firms that caused the customer to switch service providers. Critical incidents were defined broadly to cast a wide net: Incidents could include not only employee-customer service encounters but any relevant interface between customers and service firms. Incidents could also involve more than one service firm. For example, the customer might decide that interactions with both the service firm "switched from" and the service firm "switched to" were relevant. The key criterion for inclusion was that, from the customer's perspective, the incident led to service switching.

Data collection procedures. Interviewers were 50 trained graduate student volunteers enrolled in services marketing classes at an urban university. Interviewers each contacted ten individuals to participate in the study. Because most interviewers were full-time corporate employees, they were encouraged to collect incidents from coworkers, neighbors, and other contacts, but not from other students. Respondents were asked to record their critical incidents on a standardized form in the presence of the interviewer. According to Flanagan (1954, p. 342), asking respondents to write their responses in the presence of an interviewer "retains the advantages of the individual interview in regard to the personal contact, explanation, and availability of the interviewer to answer questions ... [and] the language of the actual observer is precisely reproduced." Moreover, the procedure mitigates certain problems that can arise with multiple interviewers, such as inter-interviewer bias, selectivity in listening and recording, or variation in recording and editing.

Sample size was determined according to Flanagan's recommendations (1954, p. 343): "Adequate coverage has been achieved when the addition of 100 critical incidents to the sample adds only two or three critical behaviors." This *post hoc* method of evaluating sample size necessitated collection and analysis of data in two phases. First, a "classification sample" of 300 responses was collected. Later, two "confirmation samples" totaling 226 additional responses were collected, for a total of 526 responses.

Questionnaire development. The first question asked respondents to indicate which of 25 different services they had purchased during the previous six-month period. The question was included for two reasons: First, because respondents may have been uncertain about what was meant by "services," the question provided 25 different examples of services for clarification. Second, because the population of interest was consumers of services, the question allowed researchers to check whether respondents had purchased services during the prior six months.

The six-month time frame was recent enough for reliable recall yet long enough to include infrequently visited services (such as doctors). Respondents were then asked the following:

> Please think about the last time that you switched service providers. That is, you were a customer of one service provider and you switched to become the customer of a different service provider. What service are you thinking about?

The question was carefully worded to achieve several objectives: (1) It allowed respondents to select service switching incidents of their own choosing, without constraining them to specific industries; (2) It asked for the most recent observation to prevent respondents from describing only the more dramatic or vivid incidents; and (3) The most recent observation should be well remembered. Finally, the question gave respondents time to collect their thoughts and to have incidents clearly in mind.

A series of probing questions encouraged respondents to provide detailed descriptions:

- Please tell us, in your own words, what happened? Why did you switch service providers?
- Try to tell us exactly what happened: where you were, what happened, what you said, how you felt, what the service person said, and so forth.

Note that respondents were not asked to analyze why the incidents occurred; they were asked to tell stories about all the things that had occurred—something people do quite easily (Bitner, Booms, and Tetreault 1990; Nyquist and Booms 1987). Analysis, evaluation, abstraction, and inference were conducted by the researchers.

Data Quality

Validation of the sample. The use of multiple interviewers increased the need to validate the sample. Ten percent of respondents (one chosen arbitrarily from each set of ten) were contacted by telephone and asked (1) to verify that they had personally answered the questionnaire and (2) to identify the service in their "switching story." If a respondent could not verify participation, all surveys by that interviewer were eliminated. One set could not be verified and was eliminated, for a revised subtotal of 516 useable responses.

Quality of the critical incidents. Flanagan (1954, p. 340) suggests that "if full and precise details are given, it can usually be assumed that this information is accurate. Vague reports suggest that the incident is not well remembered and that some of the data may be incorrect." Judges removed 48 responses in which either the respondent had not switched services or the response was judged to be vague, for a final total of 468 incidents.

Characteristics of the sample. Demographically, 58% of respondents were female and 42% were male, 62% were married, and 52% had at least one child. Respondents worked an average of 38 hours per week and spouses worked an average of 35 hours. The group was well educated, with 67% holding at least a bachelor's degree. Respondents ranged in age from 18 to 79 years; the average age was 36 years. Almost 60% of respondents lived in suburbs, 34% lived in the city, and 6.5% lived in rural areas. All respondents were service consumers, purchasing between 2 and 19 of the 25 services listed in question 1. Service purchase responses were normally distributed with a mean, median, and mode of 10 services.

Forty-five different services were cited in critical switching incidents, including beauty salons (67), auto mechanics (67), insurance agents (54), dry cleaners (50), sit-down restaurants (27), doctors or medical services (27), dentists (16), travel agents (15), banks (14), phone service providers (14), fast-food restaurants (12), and housekeepers (10). Less frequently mentioned were trash pick-up services (9), day care services (8), real estate agents (7), clothing stores (7), health clubs (6), lawn care services (6), airlines (6), hotels (5), accountants (4), and plumbers (4). Twenty-three other services were cited by fewer than 4 respondents.

Data Analysis

Unit of analysis. Because the term "critical incident" can refer to either the overall story or to discrete behaviors contained within the story, the first step in data analysis is to determine the appropriate unit of analysis (Holsti 1968; Kassarjian 1977). We determined that discrete behaviors would best preserve the specificity of the data. Therefore, two judges independently coded the 468 incidents into 838 separate critical behaviors, as follows: For example, consider a critical incident in which an employee ignored a customer and was rude. That incident would be coded as containing two critical behaviors ("ignored" and "rude"). Synonyms were coded as a single critical behavior ("rude and discourteous" would be coded as "rude"). Upon completing the unit of analysis coding task, the two judges compared their decisions regarding discrete behaviors and resolved disagreements by discussion.

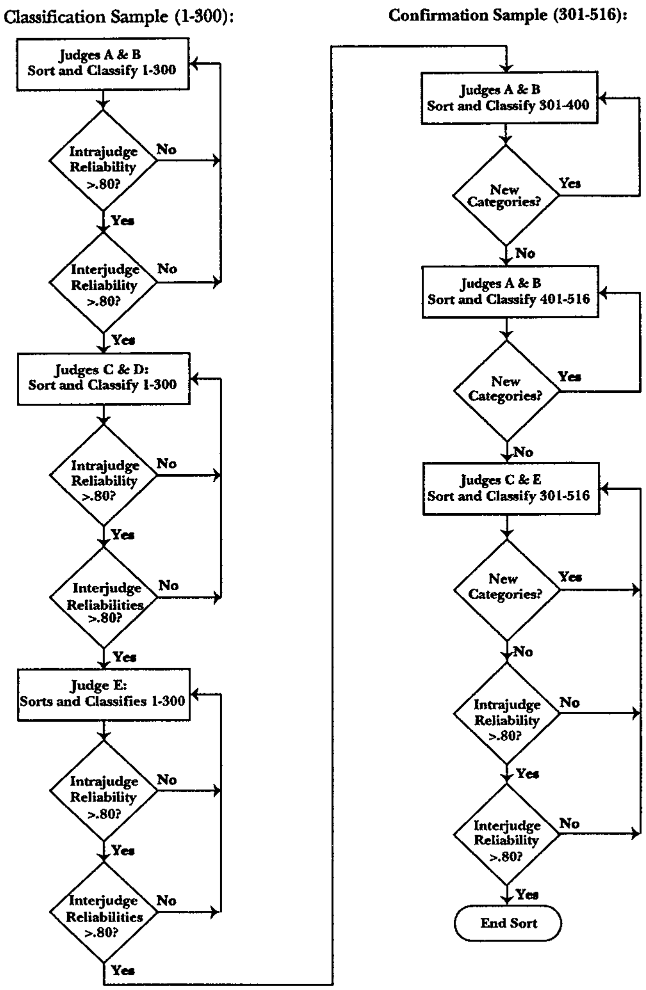
Category development and reliability. The next step was to sort the 838 critical behaviors into categories and subcategories, following the critical incident technique procedures shown in Figure 1 and described following.

Two judges (A and B) independently developed mutually exclusive and exhaustive categories for responses 1–300 (271 useable critical incidents composed of 462 critical behaviors). Following Weber (1985), but unusual in critical incident studies, intrajudge reliability was examined to determine whether the *same* judges classified the same phenomena into the same categories over time (essentially, test-retest reliability over a one-month period). When intrajudge reliability exceeded the .80 cutoff, Judges A and B compared their categorization schemas and resolved disagreements by discussion.

A rigorous classification system should also be "intersubjectively unambiguous" (Hunt 1983), as measured by interjudge reliability. Interjudge reliability is a measure of whether *different* judges classify the same phenomena into the same categories. Interjudge reliabilities above .80 are considered satisfactory (Bitner, Booms, and Tetreault 1990; Kassarjian 1977; Nyquist and Booms 1987; Ronan and Latham 1974). When the interjudge agreement between Judges A and B exceeded .80, their results became the benchmarks (Latham and Saari 1984).

Two new judges (C and D) sorted the 462 behaviors into the categories and subcategories provided by Judges A and B. Judges C and D were instructed to create new categories if appropriate. When intrajudge reliability exceeded .80, their classification decisions were compared against the benchmarks. Interjudge reliabilities were very high, averaging .88 overall. Finally, a fifth judge (Judge E) conducted a

FIGURE 1
Critical Incident Sorting and Classification Process



final sort of responses 1–300. Judge E's interjudge reliability averaged a very satisfactory .85 overall.

Category confirmation and reliability. A sample is of sufficient size for critical incident analysis when the addition of 100 new incidents does not create any new categories. The two confirmation samples collected in this research (incidents 301–400 and 401–516) yielded 197 useable critical incidents and 376 critical behaviors.

Judges A and B sorted responses 301–400 into the classification system explained previously with an eye to developing new categories. No new categories emerged in this process, indicating that no further analysis was necessary. As a precautionary measure, the confirmation process was repeated with responses 401–516; again, no new categories emerged. Finally, Judges C and E sorted responses 301–516. Interjudge reliability averaged a very satisfactory .88 overall. The final classification schema for service switching incidents is shown in Table 1.

Content validity. Content validity of a critical incident classification system is considered satisfactory if critical behaviors in the confirmation sample are fully represented by the categories and subcategories developed in the classification sample (Flanagan 1954; Ronan and Latham 1974). As shown in Figure 1 and Table 1, no new categories emerged during sorting and classification of either of two confirmation samples. High content validity, intrajudge reliabilities, and interjudge reliabilities provide a high degree of confidence that the schema accurately represents the domain of customer switching in service industries.

Results: A Model of Customer Switching Behavior in Service Industries

The model of customer switching behavior in service industries is shown in Figure 2. Categories and hierarchical subcategories are discussed in detail subsequently.

Pricing

The "pricing" category included all critical switching behaviors that involved prices, rates, fees, charges, surcharges, service charges, penalties, price deals, coupons, or price promotions. Price was the third largest switching category, mentioned by 30% of all respondents. Nine percent of respondents mentioned only price as the reason for switching services, and an additional 21% mentioned price as one of two or more causes of switching.

Pricing subcategories included (1) high prices, (2) price increases, (3) unfair pricing practices, and (4) deceptive pricing practices. In the "high price" subcategory, customers switched services when service prices exceeded internal reference prices. Prices were deemed too high relative to some internal normative price ("The cost of the dry cleaner was too great even with coupons in the mail"), too high relative to the value of the services received ("The national auto mechanic chain was overpriced compared to their services"), or too high relative to competitive prices ("The other telephone service could save me money").

In the second subcategory, customers switched because of a price increase ("[I] never had a claim but every year the car insurance company raised the rates"). The reference price in this subcategory was based on prior experience with the focal service. In the third subcategory, customers felt cheated or believed that the price charged was unfair ("The realtor charged me excessively. I felt cheated"). In the fourth subcategory, customers switched because prices were deceptive, as when a final price greatly exceeded a quoted price ("My original diagnosis was supposed, by a mailing sent to me, to be a 1- to 2-hour visit costing less than $300. It turned out to be a 7.5-hour examination costing over $1,200").

Inconvenience

The "inconvenience" category included all critical incidents in which the customer felt inconvenienced by the service provider's location, hours of operation, waiting time for service, or waiting time to get an appointment. More than 20% of all respondents attributed at least one of their reasons for service switching to inconvenience. Of the respondents who

TABLE 1
Classification of Services Switching Incidents

Service SwitchingCategory	Classification Sample[a]			Confirmation Sample[b]			Total Sample		
	N of Critical Behaviors	% of Critical Behaviors	% of Critical Incidents[c]	N of Critical Behaviors	% of Critical Behaviors	% of Critical Incidents[3]	N of Critical Behaviors	% of Critical Behaviors	% of Critical Incidents[3]
1. Pricing	79	17.1	29.0	61	16.2	31.0	140	16.7	29.9
2. Inconvenience	48	10.4	17.7	49	13.0	24.9	97	11.6	20.7
3. Core service failures	120	26.0	44.3	88	23.4	44.7	208	24.8	44.3
4. Failed service encounters	95	20.6	35.1	65	17.3	33.0	160	19.1	34.1
5. Response to failed service	50	10.8	18.5	31	8.2	15.7	81	9.7	17.3
6. Competition	20	4.3	7.4	28	7.5	14.2	48	5.7	10.2
7. Ethical problems	19	4.1	7.0	16	4.3	8.1	35	4.2	7.5
8. Involuntary switching	11	2.4	4.1	18	4.8	9.1	29	3.5	6.2
9. Other	20	4.3	7.4	20	5.3	10.1	40	4.7	8.6
Total behaviors	462	100.0		376	100.0		838	100.0	

[1]Critical Incidents 1–300
[2]Critical Incidents 301–516
[3]Percents sum to greater than 100 due to multiple reasons for switching services per incident

reported inconvenience, 21.6% cited inconvenience as the only reason for switching.

Inconvenient incidents were sorted into three subcategories: The first included customers who switched because of location ("the new auto service was closer to work") or hours of operation ("I switched to a dry cleaner ... that was open past 6 p.m."); in the second, customers switched services when it took too long to schedule an appointment ("To get an appointment with the medical services doctor I had to wait 4–6 months"); in the third, customers switched when they waited too long for service delivery. "Too long" was determined by comparing the wait against an internal, normative reference point ("It took us 45 minutes to get another beer") or against promises made by the service provider ("The [building] project completion was two months late").

Core Service Failures

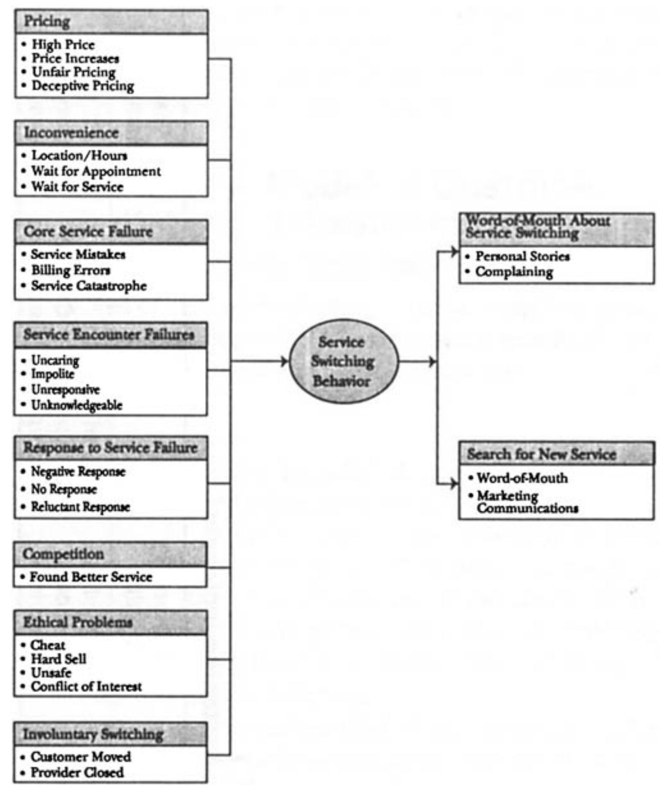
The largest category of service switching was core service failures, mentioned by 44% of respondents. Core service failures included all critical incidents that were due to mistakes or other technical problems with the service itself. More than 11% of respondents described only the core service failure incident as the reason for service switching, and another 33% of respondents mentioned a core service failure as one of two or more reasons.

Three subcategories of core service failures represented (1) mistakes, (2) billing errors, and (3) service catastrophes. The first composed the largest subcategory. Core service mistakes included longitudinal problems, in which a series of mistakes ("We had a number of problems with the accuracy of our monthly [bank] statements and with transfers not being completed") or decreases in levels of service ("The level of [banking] service I had grown accustomed to has deteriorated") occurred over time. The subcategory also included multiple mistakes that occurred within the context of a single service encounter ("The travel agent couldn't get accurate information. She couldn't offer me the seat I wanted [it was available]; she couldn't connect my flights. She couldn't come up with a super saver flight according to my schedule"). Other core service mistakes that led to customer switching included single "big" mistakes ("The pharmacist provided incorrect insulin"), incomplete service provision ("...dentist started work and did not finish. Left town for three days. The area became infected and I was sick"), or incidents in which the provider was unable to deliver the service ("the [auto mechanic] was unable to repair my car").

A second subcategory of core service failures grouped billing problems. Customer complaints included incorrect billing ("The dentist billed my insurance company for services not yet provided") and failures to correct billing in a timely manner ("I was unable to get the [health] club to stop taking money from my account (mistakenly) for months").

The third subcategory included service catastrophes. Here, core service failures not only failed to provide the appropriate service but actually caused damage to the customer's person, family, pets, or belongings ("A routine surgical procedure almost killed my dog") or caused the customer to lose time or money ("I had to rent a car [to go] to work").

FIGURE 2
A Model of Customers' Service Switching Behavior



Service Encounter Failures

Service encounters were defined as personal interactions between customers and employees of service firms. Service encounter failures were the second largest category of service switching, mentioned by 34% of respondents: 9% of respondents mentioned only service encounters as the reason for switching services, and an additional 25% of respondents mentioned service encounter failures as at least one of two or more reasons for switching.

Service encounter failures were all attributed to some aspect of service employees' behaviors or attitudes: If employees were (1) uncaring, (2) impolite, (3) unresponsive, or (4) unknowledgeable, customers switched service providers. Uncaring service contact personnel did not listen to customers ("The doctor was very cut and dry [sic], and I did not feel she listened to me. She didn't validate my concerns and discuss them further with me"), ignored customers ("The waitress was practically nonexistent. She never asked if everything was OK or if we needed anything else"), or paid attention to people other than customers ("The barber spent [more] time talking to her boyfriend than paying attention to what she was doing with her scissors"). Uncaring service personnel rushed ("The accountant only talked to us for 20 minutes") or were not helpful ("The mortgage broker was not helpful to our business at all"), friendly ("The [flight] attendant had as much personality as an ATM machine"), or interested in customers ("The plumber seemed to have a lack of caring about us").

Unresponsive contact personnel were inflexible or uncommunicative. Inflexible service providers refused to accommodate customer requests ("The doctor's office refused to transfer my records to a new physician without first receiving a registered letter requesting such a transfer even though I was standing right there"). Uncommunicative service providers failed to be proactively informative ("The day care service had lots of problems of not being informative on a day-to-day basis"), refused to return phone calls ("We could not get [the stock broker] to return a call—he was too busy"), or neglected to answer questions ("They wouldn't explain what they were doing to my car").

Impolite employees were described by respondents as rude ("Flight staff was rude and uncooperative"), condescending ("The clothing store sales people got snotty when I demanded what I already paid for"), and impatient or ill-tempered ("My daughter needed a shot and was uncooperative. The doctor was very impatient and short-tempered").

Unknowledgeable service employees were described as inexperienced ("Our son was not receiving adequate supervision, training, and instructional time at the chain's day care center [because of] inexperienced new hires"), inept ("The car salesman gave me wrong information about the car"), or not versed in state-of-the-art techniques ("The dentist's practice had not moved forward with newer technology"). Others simply did not instill confidence in the customer ("[The building contractor] made enormous assumptions regarding the works, but I had a lack of confidence in his judgment").

Employee Responses to Service Failures

The "employee responses to service failures" category included critical switching incidents in which customers switched, not because of a service failure, but because service providers failed to handle the situation appropriately. Just over 17% of all service switching incidents were caused in part by unsatisfactory employee responses to service failures.

Employee responses to service failures were sorted into three subcategories that range from bad to worse: (1) reluctant responses, (2) failure to respond, and (3) patently negative responses. In "reluctant responses," customers told of service providers who responded to service failures and made corrections—but did so with obvious reluctance. For example, these customers never returned to this restaurant, despite a service "correction":

> We received two incorrect entrees. We asked the waiter to replace them and he refused. He said we would have to pay for them. The manager reluctantly agreed to replace one entree. We wrote a letter to the owner and never heard from him.

In the second subcategory, customers switched because service employees failed to respond to service problems. Some failed responses were of the "too bad, you're on your own" variety ("I told the receptionist that I couldn't wait that long. She said, 'Get another doctor'"). Other times service providers did not acknowledge the legitimacy of a complaint ("I thought their prices were high compared with motels in other cities. The response was that they had a 90% occupancy rate so the price must be about right") or ignored a customer's complaint ("No one asked why I wanted to cancel their [credit card] service").

The third subcategory grouped "patently negative responses," in which the service provider attributed blame for the failure to the customer. This incident describes one customer's experience: "The owner said that the original seamstress told her that I had contributed to the first error, as I had personally pinned the jacket sleeves too short."

Attraction by Competitors

The "attraction by competitors" category included critical switching incidents in which customers told stories about switching *to* a better service provider rather than *from* an unsatisfactory provider. Approximately 10% of critical switching incidents were sorted into this category. Customers switched to service providers who were more personable ("new club is well maintained, staff is friendly, greet me by my first name"), more reliable ("both cars are always ready at pickup time"), or provided higher quality ("switched to a private home [day care provider] that is 20% higher; however, the smaller number of kids, home environment, and personal attention are worth it"). Many customers switched to a better service even when the new provider was more expensive ("We feel the quality [of the haircut] is worth the price, even though it is almost twice the price") or less convenient ("I now travel further to buy my liquor ... I like the attitude of friendliness").

Ethical Problems

The "ethical problems" category included critical switching incidents that described illegal, immoral, unsafe, unhealthy, or other behaviors that deviated widely from social norms. More than 7% of all critical incidents cited unethical service provider behavior as at least part of the reason for switching services. This percentage increases to almost 9% if deceptive pricing and bait-and-switch practices (categorized with pricing) are added.

Four subcategories of unethical behaviors included (1) dishonest behavior, (2) intimidating behavior, (3) unsafe or unhealthy practices, and (4) conflicts of interest. Dishonest service providers cheated customers, stole personal belongings or money, charged for work not performed, or suggested unneeded service work ("The major problem was that if we brought our car in and they looked it over they always found a million other things wrong"). Threatening service providers engaged in overly aggressive selling behavior, yelled at customers, or intimidated them ("When I told the original repair shop I would not have the repairs done at this time the mechanic said, 'I can't believe you would drive around with your children in a car needing these repairs'").

The third subcategory included unhealthy or unsafe service practices. For example, one respondent switched restaurants because "most of the tables in the place were dirty. A person who had been cooking handled the trash. A person who handled the food also handled the money." Another switched hotels after being "given a key to a room that was occupied." In the fourth subcategory, customers told of conflict of interest problems. For example, one customer switched after learning that "the travel agent had been booking with the airline giving the best perks and commissions."

Involuntary Switching and Seldom-Mentioned Incidents

The involuntary switching category (6%) included stories that described switching because of factors largely beyond the control of either the customer or the service provider. These included involuntary switching because the service provider had moved, the customer had moved, or the insurance company or other third-party payer had changed alliances. Finally, an "other" category was created for responses mentioned only once or twice. Interestingly, some factors that appear in satisfaction and quality research, such as tangibles, crowding, and problems with other customers, were seldom mentioned. Fewer than 5% of critical behaviors were classified as "other."

Simple Versus Complex Service Switching

Table 2 shows categorization of simple (defined as involving one category or factor) and complex (defined as involving more than one category or factor) incidents. Forty-five percent of respondents described switching incidents composed of a single behavior or factor. Although simple switching incidents occurred in all categories (except, by definition, responses to service failures), core service failures, pricing problems, and service encounter failures were the most frequently mentioned simple causes of service switching.

The remaining 55% of critical switching incidents were complex. Critical switching incidents composed of two different categories (two-factor incidents) were reported by 36% of respondents. Of those, more than half described a core service failure compounded by another problem. For example, 15% of two-factor incidents described core service failures exacerbated by unsatisfactory provider responses to the problem ("The color on the jacket was blotched after dry cleaning. The clerk swore up and down that my coat was defective, they were not responsible, and I should return the coat to the store where I bought it"). Another 15% described core service failures combined with service encounter failures ("[The airline] tickets were ... missing, seating [was] with partners not together ... [the travel agent] told us to pick up the tickets then didn't have them. [The travel agent was] impersonal, not friendly or helpful"). Ten percent of two-factor incidents involved core service failures combined with pricing problems ("I walked out to find that the haircut was uneven, and that I had been overcharged in the process") and another 6% were core service failures combined with inconvenience ("The accounting service was very slow and did make major errors").

A second pattern involved service encounter failures combined with an additional problem. Most common were service encounter failures combined with core service failures (noted previously), service encounter failures combined with inconvenience (8%), and service encounter failures combined with pricing problems (7%).

Fifteen percent of respondents described switching incidents composed of three different categories. Most common were incidents involving a core service failure *and* a service encounter failure combined with a failure to respond to the service problem ("The dry cleaners ruined my comforter ... they yelled at me when I got upset ... they would not fix it or replace it"), a pricing problem ("The auto mechanic could not find the problem ... he had a bad attitude ... the dealership still charged me $50"), or a convenience problem ("[The medical provider] misdiagnosed a serious medical condition ... provided very impersonal care ... the doctor never saw you [sic] at the scheduled time").

Finally, 20 respondents reported four or more different critical behaviors in each switching incident. For example, this highly complex switching incident had elements of price, ethical issues (unnecessary work), service encounter failures, and inconvenience:

> My doctor is equipped with a fairly complete office. It seems every time one of my family or myself [sic] goes in, we end up needing an X-ray, blood tests, or some other procedure that really skyrockets [sic] our bill. Some of these procedures seem a little premature and/or unnecessary. I also happened to overhear the receptionist at the end of the day, tell the doctor that they cleared X amount of hours for that day & took in more than they expected. I happened to be right there at the time. Very unprofessional. There were also scheduling problems in there [sic] office.

TABLE 2
Simple and Complex Switching Incidents: Number of Critical Behaviors per Switching Incident by Category

Switching Incidents and Reasons Cited	Simple Incidents: N of Behaviors	Simple Incidents: % of Behaviors	Two-Factor Incidents: N of Behaviors	Two-Factor Incidents: % of Behaviors	Three-Factor Incidents: N of Behaviors	Three-Factor Incidents: % of Behaviors
A. Price	42	19.9	51	15.2	33	15.9
B. Inconvenience	21	10.0	41	12.2	27	13.0
C. Core service failure	52	24.6	96	28.6	45	21.8
D. Service encounters	42	19.9	61	18.1	45	21.8
E. Response to failure	0	0.0	38	11.3	31	15.0
F. Competition	14	6.6	7	5.0	11	5.3
G. Ethical problems	9	4.3	11	3.3	7	3.4
H. Involuntary/other	31	14.7	21	6.3	8	3.8
Number of incidents	211		168		69	
Total behaviors	211		336		207	

Note: The remaining 20 respondents averaged 4.2 behaviors per incident for a total of 468 incidents and 838 behaviors.

Consequences of Service Switching

Once customers switch services, it is likely that they will engage in post-switching behaviors related to the incident. First, respondents were asked if they had engaged in word-of-mouth communications about the service switching incident. Content analysis of responses was conducted as described previously. Interjudge reliability averaged .90 overall. Results showed that 75% of customers had told at least one other person, and usually several other people, about the service switching incident. Proximity was a factor—respondents told family, friends, neighbors, coworkers, and other known customers of the service. Some respondents told the new service provider, in an effort to prevent the problem from occurring again in the future. Only 7% of respondents told the original service provider.

Second, respondents were asked if they had found a new service provider and, if so, how they had identified the new provider. Responses were content analyzed and interjudge reliability averaged .86 overall. Eighty-five percent of respondents reported having already found a new service provider. Approximately half found the new service firm through word-of-mouth communications, references, and referrals. Approximately 20% found the new provider through active external search: that is, shopping around, calling around, dropping in, trial. Another 20% were persuaded by marketing communications that included direct sales, promotional offers, or advertising media (e.g., yellow pages, newspapers).

Discussion

Implications for Research

The exploratory model of customer switching behavior in service industries presented here defines the domain of customer service switching behavior "through the eyes of the participants" (Deshpande 1983). The categories (1) adequately capture the domain (no new categories emerged after the addition of either of two confirmation samples), (2) are intersubjectively unambiguous (evidenced by high interjudge reliability), (3) are collectively exhaustive (fewer than 5% of behaviors were sorted as "other"), and (4) are mutually exclusive.

Articulation of a rigorous classification system provides the fundamental first step in developing a comprehensive theory of customer switching behavior in service industries by organizing a standardized variable system for understanding the phenomenon. Specifically, the model of customer switching behavior in service industries proposes eight main causal variables, including price, inconvenience, core service failures, service encounter failures, failed employee responses to service failures, competitive issues, ethical problems, and involuntary factors. The model proposes several two-way interactions among causal variables, including interactions between core service failures and service encounters, responses to service failures, inconvenience, or high price; interactions between service encounters and inconvenience or high prices; and interactions between high prices and competitive service offerings. Results even suggest several three-way interactions based on core service failures and service encounter failures combined with responses to failures, price, or inconvenience.

The proposition that core service failures, service encounter failures, failed employee responses to service failures, and inconvenience cause customers to switch services implies certain extensions to services marketing research. Researchers have examined antecedents of service encounters (Bitner, Booms, and Tetreault 1990), technical quality in service delivery (Shostack 1984), management of service demand fluctuations (Sasser 1976), and waiting for service (Taylor 1994) and their effects on customer evaluations of satisfaction and service quality. The model of customer switching proposes that the consequences of these factors extend beyond cognitive and affective evaluations to actual behavior: Customers not only experience dissatisfaction but may actually take action to switch service providers.

The proposition that price, competition, ethics, and involuntary factors cause customers to switch services implies a need to examine variables in addition to the more frequently researched variables discussed previously. Services literature tends to focus, appropriately, on service quality and satisfaction, service encounters, and service design as antecedents of customer loyalty. The model proposes that such variables, *along with* price, competition, ethical issues, and other factors, should be considered if we are to understand customer defections from service firms fully. Broadening the scope of services research is consistent with the Marketing Science Institute's research priority to study how "service interact[s] with other actions of the firm, e.g., pricing, advertising, etc., to affect customer perceptions" (1992–94, p. 9).

The proposition that combinations of causal factors interact to cause customer switching suggests a need to design services research that focuses directly on customer switching behavior. Research focused on selected antecedent variables (e.g., research focused on price deals or service encounters or technical service delivery only) will be unable to detect the potentially substantive interaction effects proposed by the model. To measure the total effects of service variables on customer switching behavior, multiple antecedents must be investigated simultaneously.

Implications for Managers

The model of customer switching behavior in service industries offers numerous implications for executives of service firms. Reports of switching activity in 45 different service businesses suggests that few if any services are exempt. The need to develop customer retention strategies may be most compelling in frequently mentioned services such as insurance, auto repair, personal grooming, dry cleaning, and housekeeping. However, even relationship-intensive services were not immune to customer switching—as many respondents reported switching physicians as reported switching restaurants.

An important implication for managers is that six of the eight service switching factors are controllable from a service firm's point of view. The six categories suggest areas in which managers might take action to prevent customer switching: For example, if core service failures cause customers to switch, then a "zero defects" philosophy to deliver a technically correct service every time should be effective in reducing customer defections (cf. Fitzsimmons and Fitzsimmons 1994). The proposition that failed responses to service breakdowns may cause customers to switch suggests the importance of developing policies for effective service recovery (cf. Berry and Parasuraman 1991; Hart, Sasser, and Heskett 1990). The proposition that customer switching may be caused by inconvenience implies that effective queue management, timely delivery of service, and efficient management of reservations systems might reduce defections.

Customer defections caused by unsatisfactory employee-customer interactions might be reduced by teaching employees to listen to customers, return telephone calls promptly, keep customers informed, and explain procedures and by training employees in technical, state-of-the-art knowledge. The proposition that customers may switch services for price-related reasons implies a need for careful management of pricing policies, especially when service firms charge higher-than-competitive prices or are considering increases in fees, service charges, or penalties. Evidence of ethical problems suggests that service firms might develop behavior-based control systems to reward ethical conduct and discourage unethical conduct among service contact employees (Hunt and Vasquez-Parraga 1993).

The predominance of complex switching incidents suggests that service firm managers might benefit by the use of cross-functional teams to solve complex customer switching problems. Marketing managers might be joined by managers from operations (to improve core service delivery), human resources (to improve service encounters), legal department (to address unethical behavior), or finance (to adjust prices).

Managers of service firms should note that some customers switched services even when satisfied with their former providers. This was often the case for service customers who switched because of convenience ("I was very satisfied with the service that [the accountant] provided me in the past, however, I prefer direct access..."), competitive actions ("I was relatively happy ... but the other mechanic worked on my wife's car and did a good job..."), or prices ("...switched long distance phone carriers due to ... dollar savings—no problems with previous service"). It is impossible to determine whether switching among satisfied service customers approaches the 65%–85% reported in other studies (*Fortune* 1993, p. 58). Still, the issue is important: Although the services literature points out that customers may stay even after a dissatisfactory encounter (Bitner, Booms, and Tetreault 1990; Kelley, Hoffman, and Davis 1993), the present study points out that satisfied customers may be leaving.

The ideas proposed here are implications of the general model of customer switching in service industries. Managers should investigate their own customers' reasons for switching services. A particular advantage of using the CIT for this purpose is its ability to identify specific behaviors for application in training and control systems. For example, knowing that an employee "was talking on the phone while I waited" is more useful information than the more general "the employee was unresponsive." Moreover, the CIT uncovers behaviors that might not be identified with more traditional methods. Surveys would hardly include items such as "the manager of restaurant x yells at waitresses in front of customers," yet customers switched services when this happened. The use of external researchers to investigate customer switching could be beneficial if in-house researchers inhibit customers from reporting their "real" reasons for switching.

Limitations and Directions for Further Research

We introduce the first model of customer switching behavior in service industries, identifying possible causal factors and proposing interaction effects among them. Further evaluative research, including controlled manipulation of proposed causal variables, is needed to test actual cause and effect. Multiple causes of service switching should be modeled concurrently whenever feasible, but especially in the context of core service failures, service encounter failures, responses to service failures, price, and inconvenience. Further model development is also indicated. Although the model identifies possible causal antecedents, the process of customer switching in service industries remains unknown. For example, what are the roles of cognitive and affective evaluations in the model? Do prior evaluations of service satisfaction or service quality mediate (or moderate) the effects of antecedent factors on customer switching? What is the role of customers' attributional processing of their own actions and the actions of services firms on switching behavior?

Some ideas for further research are suggested by the limitations of the study. For example, questions about service switching may have discouraged stories about simply quitting a service provider, self-provision of the service, or variety-seeking behavior. Probing questions focused on actions and emotions may have neglected cumulative experiences. Respondents' self-reported causes might not reflect "objective" causes of their behavior: Because people tend to make internal attributions for positive outcomes but external attributions for negative outcomes (Folkes 1988; Folkes and Kotsos 1986), for example, explanations of one's own behavior may differ from an observer's explanation of the same event. Researchers in the future might conduct a parallel study among service providers to gain perspective from the other side of the dyad. Finally, generalizability of results is limited by the use of convenience sampling and should be tested in the future.

Additional implications for research are suggested by specific variables in the model. For example, examination of pricing incidents reveals that customers develop service reference prices that range from the specific (competitive prices) to the abstract (internal normative prices). If services are intangible, variable, and difficult to compare, how do customers form service reference prices? The role of competition in customer switching suggests research opportunities to understand the effects of competitive service strategies, new service introduction, or service positioning on customer switching. Evidence of ethical problems in service industries suggests that theoretical models of marketing ethics might be empirically examined in the context of service firms: Do service characteristics, such as the intangible or personal nature of services, influence consumers' perceptions of ethical issues? In addition, research in the future might contribute to the literature by developing a set of deontological norms for service firms (i.e., policies specifying "right" and "wrong" service behaviors).

Implications and recommendations in this study emphasize the costs of customer switching. Yet functional customer turnover (i.e., in which low-margin customers switch from the firm and high-margin customers switch to the firm) might ultimately benefit a service firm. In addition, service firms might track information about customer switching behavior to signal market trends, measure the performance of competitive strategies, or keep current with new customer demands. Much interesting work remains to be done in this area.

In conclusion, the article presents the first model of customer switching in service industries. The number of proposed causal factors and the proposed interrelationships among them suggest a complicated process—possibly even more complicated than brand switching behavior. The services literature has made significant progress in understanding the complex combination of variables that comprise the gestalt of service provision. The model of service switching reveals that an equally complex combination of variables, composed of many but perhaps not all of the same variables, is involved in customers' decisions to switch services. Further specification and testing of the model, including conceptualization and operationalization of proposed variables, experimental testing of proposed causal relationships, structural modeling of the switching process, and identification of other relevant variables, are needed to increase our understanding.

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